

Lyfe Place Abuja

Your three questions, answered.

1. How is the ROI confirmed against NGN 100M of prepaid rent?

The ground floor is a conversion hub Alameda anchors on 67 drive days, with the other 209 sellable to other international groups.

Stabilised, NGN M / yr	Amount
Conversion hub, 137 drive days at NGN 2.0M	274.0
Sessional programme, 5 consulting rooms	164.4
Memberships at 60 x NGN 2.5M	150.0
Day case theatre, ground level	62.1
Procedure room, first floor	29.8
Campus revenue at stabilisation	680.3

The conversion hub is the largest single line, not the plaza. The first floor is deliberately not room-maximised: 5 consulting rooms, a procedure room, the FUE suite, a lounge at the head of the stairs and a coordinator room. The lounge earns nothing directly and is what makes the memberships and the hub sellable.

NGN M	Downside	Base	Upside
Net contribution to Medbury	(41)	471	833
Payback on NGN 403.5M, route B	3.4 yrs	2.4 yrs	2.1 yrs

The downside halves sessional fill and cuts capture by 40%, and still returns. **This is a leasing risk, not an operating risk.**

2. What do we charge Alameda per sqm?

Not per sqm. Two rooms at market rate is NGN 12M a year, nowhere near the load 15 to 20 visiting specialists place on the building. Charge one blended figure for their window, 09:00 to 17:00 Monday to Friday, with the on-site laboratory, imaging and pharmacy included in the offer rather than charged separately.

Component	NGN M / yr	USD / yr
Rent, priority rooms and MDT room	38.75	25,000
Facility and services, laboratory, imaging and pharmacy included	93.25	60,000
Blended annual charge	132.00	85,000

The rent line takes their entire stated USD 25,000 property budget, at market for the demise so it survives an arm's length test. The service charge is a separate cost centre, so "the budget is spent" is not available to them. No drive fee, no marketing line, no throughput charge. Twelve months in advance in USD, escalating 12%. Four rooms during drives, capped at 56 consultations a day. **NGN 132M is the ask, NGN 114M the floor.**

One thing to hold in mind. This is billed to the joint venture, which Medbury owns 49% of, so the net transfer from Alameda is nearer NGN 67M than NGN 132M. That is why the clause routing every user's diagnostics to Medbury Diagnostics and prescriptions to Medbury Pharmaceuticals is worth more than the rent negotiation. Capture is 100% Medbury's.

3. How do we lock them in through the SPV?

The property never enters the joint venture. It stays in a wholly owned Medbury PropCo and the JV is a tenant paying market rate rent. On that basis 49% is tolerable, and five amendments do the locking.

Amendment	Why it matters
1 Delete clause 24.1	Termination for convenience on 30 days' notice, against two years of prepaid rent and NGN 284M of fit-out. The most dangerous line in the document
2 Break fee	Unamortised fit-out plus remaining head rent on early exit. Today there is no route to recover a naira
3 Define the reserved matters	Clause 6(g) refers to them and never defines them. A Medbury veto over budget, capex, borrowing, new shares and the MD appointment
4 Mutual non-solicitation	No non-compete: it clashes with the independent specialists upstairs and would lock Medbury out of other conversion partnerships. Protect relationships, not a market
5 Deadlock mechanism	There is none. Escalation, then a shoot-out, with the property expressly carved out

Three things you should know before you decide

Item	Currently assumed	Corrected
The building	1,235 sqm	About 711 sqm gross, 520 net lettable. Measured from the as-built drawings
Total capital	About NGN 185M	About NGN 527M on a light-touch fit-out
Fit-out	NGN 35M to 40M	NGN 284M. On a sound building this is decoration, partitioning, cooling, ICT, fire and FF&E, not a conversion. Breakdown in the companion note

None of this stops the project. The corrected capital still pays back inside four years on the base case. But it should be the number in front of the board, not NGN 185M.

Run both. The facility view is what tenants see and it is the better pitch. The tenant view stays in the management accounts: it costs nothing, it shows whether diagnostics earns its 115 sqm, and it keeps pricing arm's length for FIRS and for any future investor in PropCo.

Two decisions only you can make

One. Extend the head lease to five plus five before any fit-out money moves. NGN 284M over two years is NGN 142M a year of amortisation, which pushes break-even to 36% sessional fill and removes the entire margin of safety. Over five plus five it is NGN 28M and the campus carries it comfortably. The lower fit-out softens this but does not remove it.

Two. Whether to sign a joint venture that names medical tourism conversion as its purpose and provides no mechanism to be paid for it. No referral fee, no revenue share, no volume commitment, no audit right anywhere in the twenty-three pages. The treatment revenue lands in Cairo, where Medbury participates in nothing. That may be an acceptable trade for the patient flow, but it should be a decision, not an oversight.

Before money moves

Condition precedent	Trigger
Change of use approval, plus the landlord's written consent	Before the NGN 115M rent and fees are paid
Head lease at five plus five, with a reinstatement waiver	Before any fit-out capital is released
MDCN temporary registration for the Egyptian specialists	No certificate, no room key. Medbury's licence is what is at risk
NNRA radiation licence and lead shielding	Before imaging installs

What we still need to verify

Input	Status
Building areas	Measured from the as-built PDFs. Confirm against the CAD, because everything re-bases if it is wrong
Electricity tariff	Modelled at a blended NGN 250 per kWh. Confirm from an actual AEDC bill
Fit-out at NGN 284M	Rests on the building being sound. Needs a condition survey, an electrical load assessment and a QS take-off
Sessional fill, 35% to 55%	Borrowed from the Ikoyi model and unvalidated for Abuja. The largest single sensitivity in the model

Next, in this order

Who	What
1 The landlord	Five plus five, change of use consent, fit-out recognition. Nothing else can be committed until this lands
2 Alameda	The blended charge, the four-room cap, first call on diagnostics and pharmacy, and the five amendments
3 Medbury Diagnostics	Confirm the combined laboratory and imaging demise, and appoint the radiology partner underneath it
4 Medlyfe	Confirm the guest chalet lease. It is the fourth of the four leases that carry the campus

Both fixed leases are unsigned and Medlyfe has not been approached. Alongside the head lease term, that is the critical path and the whole of the risk.

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Estimates, to be set against a live electricity bill and Medbury Diagnostics' trading data. Not a binding offer, and not legal or tax advice. FX USD/NGN 1,550.